



## Cambridge IGCSE™

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**ACCOUNTING**

**0452/22**

Paper 22

**March 2020**

MARK SCHEME

Maximum Mark: 100

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**Published**

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks. It does not indicate the details of the discussions that took place at an Examiners' meeting before marking began, which would have considered the acceptability of alternative answers.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the March 2020 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

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This document consists of **14** printed pages.

**Generic Marking Principles**

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptors for a question. Each question paper and mark scheme will also comply with these marking principles.

**GENERIC MARKING PRINCIPLE 1:**

Marks must be awarded in line with:

- the specific content of the mark scheme or the generic level descriptors for the question
- the specific skills defined in the mark scheme or in the generic level descriptors for the question
- the standard of response required by a candidate as exemplified by the standardisation scripts.

**GENERIC MARKING PRINCIPLE 2:**

Marks awarded are always **whole marks** (not half marks, or other fractions).

**GENERIC MARKING PRINCIPLE 3:**

Marks must be awarded **positively**:

- marks are awarded for correct/valid answers, as defined in the mark scheme. However, credit is given for valid answers which go beyond the scope of the syllabus and mark scheme, referring to your Team Leader as appropriate
- marks are awarded when candidates clearly demonstrate what they know and can do
- marks are not deducted for errors
- marks are not deducted for omissions
- answers should only be judged on the quality of spelling, punctuation and grammar when these features are specifically assessed by the question as indicated by the mark scheme. The meaning, however, should be unambiguous.

**GENERIC MARKING PRINCIPLE 4:**

Rules must be applied consistently e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

**GENERIC MARKING PRINCIPLE 5:**

Marks should be awarded using the full range of marks defined in the mark scheme for the question (however; the use of the full mark range may be limited according to the quality of the candidate responses seen).

**GENERIC MARKING PRINCIPLE 6:**

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

| Question                                                                                                        | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |             |                  |              |                              |                       | Marks                |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
|-----------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|------------------|--------------|------------------------------|-----------------------|----------------------|------|---------|------------------|--------------|------------------------------|-----------------------|----|------|--|--|--|--|--|-----|-------|-------------|--|--|--|--|--|---|------|-----|--|--|--|--|---|------------|-----|----|----|--|--|----|--------|-----|----|--|--|--|----|--------|-----|----|--|----|--|----|-----------|-----|----|--|--|--|--|---------|-----|----|----|--|--|--|--|-----|--|--|--|--|----|-------------|----|----|----|----|-----|--|--|-----|--|--|--|----|-------|-------------|-----|--|--|--|----|
| 1(a)                                                                                                            | <div>Amara<br/>Petty Cash Book</div> <table><tr><th>Total received<br/>\$</th><th>Date</th><th>Details</th><th>Total paid<br/>\$</th><th>Travel<br/>\$</th><th>Postage and stationery<br/>\$</th><th>Ledger accounts<br/>\$</th></tr><tr><td>65</td><td>2020</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>135</td><td>Jan 1</td><td>Balance b/d</td><td></td><td></td><td></td><td></td></tr><tr><td></td><td>3</td><td>Bank</td><td>(1)</td><td></td><td></td><td></td></tr><tr><td></td><td>7</td><td>Stationery</td><td>(1)</td><td>24</td><td>24</td><td></td></tr><tr><td></td><td>14</td><td>Travel</td><td>(1)</td><td>49</td><td></td><td></td></tr><tr><td></td><td>22</td><td>Razvan</td><td>(1)</td><td>85</td><td></td><td>85</td></tr><tr><td></td><td>29</td><td>Taxi fare</td><td>(1)</td><td>18</td><td></td><td></td></tr><tr><td></td><td></td><td>Postage</td><td>(1)</td><td>11</td><td>11</td><td></td></tr><tr><td></td><td></td><td></td><td>187</td><td></td><td></td><td></td></tr><tr><td></td><td>31</td><td>Balance c/d</td><td>13</td><td>67</td><td>35</td><td>85</td></tr><tr><td>200</td><td></td><td></td><td>200</td><td></td><td></td><td></td></tr><tr><td>13</td><td>Feb 1</td><td>Balance b/d</td><td>(1)</td><td></td><td></td><td></td></tr></table> |             |                  |              |                              |                       | Total received<br>\$ | Date | Details | Total paid<br>\$ | Travel<br>\$ | Postage and stationery<br>\$ | Ledger accounts<br>\$ | 65 | 2020 |  |  |  |  |  | 135 | Jan 1 | Balance b/d |  |  |  |  |  | 3 | Bank | (1) |  |  |  |  | 7 | Stationery | (1) | 24 | 24 |  |  | 14 | Travel | (1) | 49 |  |  |  | 22 | Razvan | (1) | 85 |  | 85 |  | 29 | Taxi fare | (1) | 18 |  |  |  |  | Postage | (1) | 11 | 11 |  |  |  |  | 187 |  |  |  |  | 31 | Balance c/d | 13 | 67 | 35 | 85 | 200 |  |  | 200 |  |  |  | 13 | Feb 1 | Balance b/d | (1) |  |  |  | 10 |
| Total received<br>\$                                                                                            | Date                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Details     | Total paid<br>\$ | Travel<br>\$ | Postage and stationery<br>\$ | Ledger accounts<br>\$ |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
| 65                                                                                                              | 2020                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |             |                  |              |                              |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
| 135                                                                                                             | Jan 1                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Balance b/d |                  |              |                              |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
|                                                                                                                 | 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Bank        | (1)              |              |                              |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
|                                                                                                                 | 7                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Stationery  | (1)              | 24           | 24                           |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
|                                                                                                                 | 14                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Travel      | (1)              | 49           |                              |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
|                                                                                                                 | 22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Razvan      | (1)              | 85           |                              | 85                    |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
|                                                                                                                 | 29                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Taxi fare   | (1)              | 18           |                              |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
|                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Postage     | (1)              | 11           | 11                           |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
|                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |             | 187              |              |                              |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
|                                                                                                                 | 31                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Balance c/d | 13               | 67           | 35                           | 85                    |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
| 200                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |             | 200              |              |                              |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
| 13                                                                                                              | Feb 1                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Balance b/d | (1)              |              |                              |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |
| <div>+ (1) dates</div> <div>+ (1) OF totalling analysis columns</div> <div>+ (1) OF for 2 matching totals</div> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |             |                  |              |                              |                       |                      |      |         |                  |              |                              |                       |    |      |  |  |  |  |  |     |       |             |  |  |  |  |  |   |      |     |  |  |  |  |   |            |     |    |    |  |  |    |        |     |    |  |  |  |    |        |     |    |  |    |  |    |           |     |    |  |  |  |  |         |     |    |    |  |  |  |  |     |  |  |  |  |    |             |    |    |    |    |     |  |  |     |  |  |  |    |       |             |     |  |  |  |    |

| Question                  | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |            |          |        |               |            | Marks |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
|---------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|----------|--------|---------------|------------|-------|-------|--------|----------|------|---------------|----|-------|-------------|-----|--------------------------|--------|------------|--------|----|---------------------------|-----|-----|----|---------------|--------|--|--|--|--|----|-------------|-----|--|--|--|--|--|--|------------|--|--|------------|--|--|--|--|-------|-------------|-----|-------|--|--|--|---|
| 1(b)                      | <div style="text-align: center;">Razvan<br/>Amara account</div> <table><tr><td>2020</td><td></td><td>\$</td><td></td><td>2020</td><td></td><td>\$</td></tr><tr><td>Jan 1</td><td>Balance b/d</td><td>85</td><td>(1)</td><td>Jan 14</td><td>Petty cash</td><td>85 (1)</td></tr><tr><td>19</td><td>Sales</td><td>180</td><td>(1)</td><td>28</td><td>Sales returns</td><td>36 (1)</td></tr><tr><td></td><td></td><td></td><td></td><td>31</td><td>Balance c/d</td><td>144</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td><u>265</u></td></tr><tr><td></td><td></td><td><u>265</u></td><td></td><td></td><td></td><td></td></tr><tr><td>Feb 1</td><td>Balance b/d</td><td>144</td><td>(1)OF</td><td></td><td></td><td></td></tr></table> <div>+ (1) dates</div> |            |          |        |               |            | 2020  |       | \$     |          | 2020 |               | \$ | Jan 1 | Balance b/d | 85  | (1)                      | Jan 14 | Petty cash | 85 (1) | 19 | Sales                     | 180 | (1) | 28 | Sales returns | 36 (1) |  |  |  |  | 31 | Balance c/d | 144 |  |  |  |  |  |  | <u>265</u> |  |  | <u>265</u> |  |  |  |  | Feb 1 | Balance b/d | 144 | (1)OF |  |  |  | 6 |
| 2020                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | \$         |          | 2020   |               | \$         |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
| Jan 1                     | Balance b/d                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 85         | (1)      | Jan 14 | Petty cash    | 85 (1)     |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
| 19                        | Sales                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 180        | (1)      | 28     | Sales returns | 36 (1)     |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
|                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |            |          | 31     | Balance c/d   | 144        |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
|                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |            |          |        |               | <u>265</u> |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
|                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | <u>265</u> |          |        |               |            |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
| Feb 1                     | Balance b/d                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 144        | (1)OF    |        |               |            |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
| 1(c)                      | <table><tr><td></td><td>debit</td><td>credit</td><td>no entry</td><td></td></tr><tr><td>Amara account</td><td></td><td>✓</td><td></td><td>(1)</td></tr><tr><td>Discount allowed account</td><td>✓</td><td></td><td></td><td>}</td></tr><tr><td>Discount received account</td><td></td><td></td><td>✓</td><td>}(1)</td></tr></table>                                                                                                                                                                                                                                                                                                                                                                                                                                                 |            |          |        |               |            |       | debit | credit | no entry |      | Amara account |    | ✓     |             | (1) | Discount allowed account | ✓      |            |        | }  | Discount received account |     |     | ✓  | }(1)          | 2      |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
|                           | debit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | credit     | no entry |        |               |            |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
| Amara account             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | ✓          |          | (1)    |               |            |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
| Discount allowed account  | ✓                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |            |          | }      |               |            |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
| Discount received account |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |            | ✓        | }(1)   |               |            |       |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |
| 1(d)                      | Direct debit (1)<br>Credit card/Debit card (1)<br>Online/electronic payment (1)<br>Telephone transfer (1)<br>Credit transfer (1)<br>Accept other valid points<br>Max (2)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |            |          |        |               |            | 2     |       |        |          |      |               |    |       |             |     |                          |        |            |        |    |                           |     |     |    |               |        |  |  |  |  |    |             |     |  |  |  |  |  |  |            |  |  |            |  |  |  |  |       |             |     |       |  |  |  |   |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Marks         |      |       |             |               |        |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|------|-------|-------------|---------------|--------|--------|-------------------|-------|-----|-------|-------------|--------|--------|--|-------------------|-----|-----|----|-----------|--------|-----|--|------|--------|-----|--|----------|----|-----|--|--------------|-----|-----|--|------|-----|-----|--|-------------|--------|--|--|--|--|--|--|--|---------------|--|--|--|---------------|--|--|--|--|--|-------|-------------|--------|-----|---|
| 2(a)     | <div>GHB Limited</div> <div>Purchases ledger control account</div> <table><tr><td>2019</td><td></td><td>\$</td><td>2019</td><td></td><td>\$</td></tr><tr><td>Nov 30</td><td>Purchases returns</td><td>1 160</td><td>(1)</td><td>Nov 1</td><td>Balance b/d</td><td>12 050</td><td>(1) OF</td></tr><tr><td></td><td>Discount received</td><td>650</td><td>(1)</td><td>30</td><td>Purchases</td><td>14 200</td><td>(1)</td></tr><tr><td></td><td>Bank</td><td>11 420</td><td>(1)</td><td></td><td>Interest</td><td>95</td><td>(1)</td></tr><tr><td></td><td>Sales ledger</td><td>250</td><td>(1)</td><td></td><td>Bank</td><td>330</td><td>(1)</td></tr><tr><td></td><td>Balance c/d</td><td>13 195</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td></td><td></td><td><u>26 675</u></td><td></td><td></td><td></td><td><u>26 675</u></td><td></td></tr><tr><td></td><td></td><td></td><td></td><td>Dec 1</td><td>Balance b/d</td><td>13 195</td><td>(1)</td></tr></table> | 2019          |      | \$    | 2019        |               | \$     | Nov 30 | Purchases returns | 1 160 | (1) | Nov 1 | Balance b/d | 12 050 | (1) OF |  | Discount received | 650 | (1) | 30 | Purchases | 14 200 | (1) |  | Bank | 11 420 | (1) |  | Interest | 95 | (1) |  | Sales ledger | 250 | (1) |  | Bank | 330 | (1) |  | Balance c/d | 13 195 |  |  |  |  |  |  |  | <u>26 675</u> |  |  |  | <u>26 675</u> |  |  |  |  |  | Dec 1 | Balance b/d | 13 195 | (1) | 9 |
| 2019     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | \$            | 2019 |       | \$          |               |        |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
| Nov 30   | Purchases returns                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1 160         | (1)  | Nov 1 | Balance b/d | 12 050        | (1) OF |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
|          | Discount received                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 650           | (1)  | 30    | Purchases   | 14 200        | (1)    |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
|          | Bank                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 11 420        | (1)  |       | Interest    | 95            | (1)    |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
|          | Sales ledger                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 250           | (1)  |       | Bank        | 330           | (1)    |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
|          | Balance c/d                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 13 195        |      |       |             |               |        |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | <u>26 675</u> |      |       |             | <u>26 675</u> |        |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |               |      | Dec 1 | Balance b/d | 13 195        | (1)    |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
| 2(b)     | <p>The purchases ledger control account does not include capital expenditure/non-current assets (1)</p> <p>The purchases ledger control account only includes purchases of goods for resale (1)</p> <p>The purchases ledger control account only includes transactions relating to trade payables (1)</p> <p><b>Accept other valid points</b></p> <p><b>Max (2)</b></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 2             |      |       |             |               |        |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
| 2(c)(i)  | Reducing balance method (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 1             |      |       |             |               |        |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |
| 2(c)(ii) | <p>More depreciation is charged in the early years of its life (1)</p> <p>Most of the benefit of the asset is gained in the early years (1)</p> <p>The net book value is more likely to relate to the amount which will be realised on sale (1)</p> <p>The vehicle may become out-of-date quickly depending on the vehicle type (1)</p> <p>As repair costs are likely to be minimal in the early years, the overall charge to the income statement each year is more likely to be fairly constant if the reducing balance method is used (1)</p> <p><b>Accept other valid points</b></p> <p><b>Max (3)</b></p>                                                                                                                                                                                                                                                                                                                                                                       | 3             |      |       |             |               |        |        |                   |       |     |       |             |        |        |  |                   |     |     |    |           |        |     |  |      |        |     |  |          |    |     |  |              |     |     |  |      |     |     |  |             |        |  |  |  |  |  |  |  |               |  |  |  |               |  |  |  |  |  |       |             |        |     |   |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Marks    |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 2(d)     | <p><b>Ordinary shares</b><br/> Advantages:<br/> Shares could be sold to new or existing shareholders <b>(1)</b><br/> Shares are permanent capital/do not have to be repaid <b>(1)</b><br/> Dividends vary according to the profit <b>(1)</b><br/> <b>Accept other valid points</b><br/> <b>Max (1)</b></p> <p>Disadvantages:<br/> It may take longer to raise the funds <b>(1)</b><br/> Increased dividends may have to be paid <b>(1)</b><br/> All the shares need to be sold in order to raise the amount required <b>(1)</b><br/> Less control for existing shareholders <b>(1)</b><br/> <b>Accept other valid points</b><br/> <b>Max (1)</b></p> <p><b>Bank loan</b><br/> Advantages:<br/> Easier to set up/quicker to obtain funds <b>(1)</b><br/> May be repaid early <b>(1)</b><br/> <b>Accept other valid points</b><br/> <b>Max (1)</b></p> <p>Disadvantages:<br/> A fixed rate of interest needs to be paid each year <b>(1)</b><br/> The interest would be payable irrespective of profit <b>(1)</b><br/> Must be re-paid in full within a fixed period <b>(1)</b><br/> Security would have to be provided <b>(1)</b><br/> <b>Accept other valid points</b><br/> <b>Max (1)</b><br/> <b>Recommendation (1)</b></p> | <b>5</b> |

| Question                                 | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Marks         |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
|------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|--------|----|--|---------------------|--|---------|--------|--------------------------|--|--|--|-------------------|-------|--|--|-----------|---------------|--|--|--|--------|-----|--|------------------------|--------------|--|--|-----|--------------|---------------|-----|--------------|--|---------------|-------|-------------------|--|--------------|-----|--------------|--|--------|--|---------------|-------|---------|--|------------------|--------------|---|--|-------------------|-------|---------------|--|---------------------------|-------|-----|--|------------------|-------|---|--|-------|-------|------|--|------------------------------------------|--------------|-----|--|--|--|---------------|--|---------------------|--|---------------|-------|---|
| 3(a)                                     | <div><div>Tia and Sarna</div><div>Income Statement for the year ended 31 December 2019</div><table><tr><td></td><td>\$</td><td>\$</td><td></td></tr><tr><td>Revenue</td><td></td><td>124 000</td><td></td></tr><tr><td>Cost of sales</td><td></td><td></td><td></td></tr><tr><td>Opening inventory</td><td>5 390</td><td></td><td></td></tr><tr><td>Purchases</td><td><u>55 440</u></td><td></td><td></td></tr><tr><td></td><td>60 830</td><td></td><td></td></tr><tr><td>Less Closing inventory</td><td><u>5 165</u></td><td></td><td></td></tr><tr><td></td><td></td><td><u>55 665</u></td><td>(1)</td></tr><tr><td>Gross profit</td><td></td><td>68 335</td><td>(1)OF</td></tr><tr><td>Discount received</td><td></td><td><u>1 385</u></td><td>(1)</td></tr><tr><td></td><td></td><td>69 720</td><td></td></tr><tr><td>Less Expenses</td><td></td><td></td><td></td></tr><tr><td>Discount allowed</td><td>2 400</td><td>}</td><td></td></tr><tr><td>Carriage outwards</td><td>6 160</td><td>}(1)</td><td></td></tr><tr><td>Insurance (7 920 – 1 080)</td><td>6 840</td><td>(1)</td><td></td></tr><tr><td>General expenses</td><td>8 100</td><td>}</td><td></td></tr><tr><td>Wages</td><td>9 600</td><td>}(1)</td><td></td></tr><tr><td>Depreciation on Furniture (20% × 24 000)</td><td><u>4 800</u></td><td>(1)</td><td></td></tr><tr><td></td><td></td><td><u>37 900</u></td><td></td></tr><tr><td>Profit for the year</td><td></td><td><u>31 820</u></td><td>(1)OF</td></tr></table></div> |               | \$     | \$ |  | Revenue             |  | 124 000 |        | Cost of sales            |  |  |  | Opening inventory | 5 390 |  |  | Purchases | <u>55 440</u> |  |  |  | 60 830 |     |  | Less Closing inventory | <u>5 165</u> |  |  |     |              | <u>55 665</u> | (1) | Gross profit |  | 68 335        | (1)OF | Discount received |  | <u>1 385</u> | (1) |              |  | 69 720 |  | Less Expenses |       |         |  | Discount allowed | 2 400        | } |  | Carriage outwards | 6 160 | }(1)          |  | Insurance (7 920 – 1 080) | 6 840 | (1) |  | General expenses | 8 100 | } |  | Wages | 9 600 | }(1) |  | Depreciation on Furniture (20% × 24 000) | <u>4 800</u> | (1) |  |  |  | <u>37 900</u> |  | Profit for the year |  | <u>31 820</u> | (1)OF | 8 |
|                                          | \$                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | \$            |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Revenue                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 124 000       |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Cost of sales                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Opening inventory                        | 5 390                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Purchases                                | <u>55 440</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
|                                          | 60 830                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Less Closing inventory                   | <u>5 165</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
|                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <u>55 665</u> | (1)    |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Gross profit                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 68 335        | (1)OF  |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Discount received                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <u>1 385</u>  | (1)    |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
|                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 69 720        |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Less Expenses                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Discount allowed                         | 2 400                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | }             |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Carriage outwards                        | 6 160                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | }(1)          |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Insurance (7 920 – 1 080)                | 6 840                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | (1)           |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| General expenses                         | 8 100                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | }             |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Wages                                    | 9 600                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | }(1)          |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Depreciation on Furniture (20% × 24 000) | <u>4 800</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | (1)           |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
|                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <u>37 900</u> |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Profit for the year                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <u>31 820</u> | (1)OF  |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| 3(b)                                     | <div><div>Tia and Sarna</div><div>Appropriation Account for the year ended 31 December 2019</div><table><tr><td></td><td>\$</td><td>\$</td><td></td></tr><tr><td>Profit for the year</td><td></td><td>31 820</td><td>(1) OF</td></tr><tr><td>Less Interest on capital</td><td></td><td></td><td></td></tr><tr><td>Tia</td><td>4 000</td><td></td><td></td></tr><tr><td>Sarna</td><td><u>2 000</u></td><td></td><td></td></tr><tr><td></td><td>6 000</td><td>(1)</td><td></td></tr><tr><td>Salary</td><td></td><td></td><td></td></tr><tr><td>Tia</td><td><u>6 000</u></td><td>(1)</td><td></td></tr><tr><td></td><td></td><td><u>12 000</u></td><td></td></tr><tr><td></td><td></td><td>19 820</td><td></td></tr><tr><td>Profit share</td><td></td><td></td><td></td></tr><tr><td>Tia</td><td>9 910</td><td>}(1) OF</td><td></td></tr><tr><td>Sarna</td><td><u>9 910</u></td><td>}</td><td></td></tr><tr><td></td><td></td><td><u>19 820</u></td><td></td></tr></table></div>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |               | \$     | \$ |  | Profit for the year |  | 31 820  | (1) OF | Less Interest on capital |  |  |  | Tia               | 4 000 |  |  | Sarna     | <u>2 000</u>  |  |  |  | 6 000  | (1) |  | Salary                 |              |  |  | Tia | <u>6 000</u> | (1)           |     |              |  | <u>12 000</u> |       |                   |  | 19 820       |     | Profit share |  |        |  | Tia           | 9 910 | }(1) OF |  | Sarna            | <u>9 910</u> | } |  |                   |       | <u>19 820</u> |  | 4                         |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
|                                          | \$                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | \$            |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Profit for the year                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 31 820        | (1) OF |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Less Interest on capital                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Tia                                      | 4 000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Sarna                                    | <u>2 000</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
|                                          | 6 000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | (1)           |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Salary                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Tia                                      | <u>6 000</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | (1)           |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
|                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <u>12 000</u> |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
|                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 19 820        |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Profit share                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |               |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Tia                                      | 9 910                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | }(1) OF       |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
| Sarna                                    | <u>9 910</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | }             |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |
|                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <u>19 820</u> |        |    |  |                     |  |         |        |                          |  |  |  |                   |       |  |  |           |               |  |  |  |        |     |  |                        |              |  |  |     |              |               |     |              |  |               |       |                   |  |              |     |              |  |        |  |               |       |         |  |                  |              |   |  |                   |       |               |  |                           |       |     |  |                  |       |   |  |       |       |      |  |                                          |              |     |  |  |  |               |  |                     |  |               |       |   |



| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Marks  |                     |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |
|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|---------------------|------|----|--------|----------|-------|-------------|--|--------|--------|---------------------|--|--|--|--------|--|--|--|-------------|--|-------------------|--|-------------------|------|--|--|--|-------|-------------|--|--|--|-------|--|--|---|
| 3(c)     | <div><div><div>Tia and Sarna</div><div>Sarna Current account</div><table><tr><td>2019</td><td>\$</td><td>2019</td><td>\$</td></tr><tr><td>Dec 31</td><td>Drawings</td><td>Jan 1</td><td>Balance b/d</td></tr><tr><td></td><td>17 000</td><td>Dec 31</td><td>Interest on capital</td></tr><tr><td></td><td></td><td></td><td>Profit</td></tr><tr><td></td><td></td><td></td><td>Balance c/d</td></tr><tr><td></td><td><div>17 000</div></td><td></td><td><div>17 000</div></td></tr><tr><td>2020</td><td></td><td></td><td></td></tr><tr><td>Jan 1</td><td>Balance b/d</td><td></td><td></td></tr><tr><td></td><td>3 490</td><td></td><td></td></tr></table></div><div><div>(1)</div><div>(1)OF</div><div>(1)OF</div></div></div>                                                                                                                                                                    | 2019   | \$                  | 2019 | \$ | Dec 31 | Drawings | Jan 1 | Balance b/d |  | 17 000 | Dec 31 | Interest on capital |  |  |  | Profit |  |  |  | Balance c/d |  | <div>17 000</div> |  | <div>17 000</div> | 2020 |  |  |  | Jan 1 | Balance b/d |  |  |  | 3 490 |  |  | 4 |
| 2019     | \$                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 2019   | \$                  |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |
| Dec 31   | Drawings                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Jan 1  | Balance b/d         |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |
|          | 17 000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Dec 31 | Interest on capital |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |        | Profit              |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |        | Balance c/d         |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |
|          | <div>17 000</div>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |        | <div>17 000</div>   |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |
| 2020     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |        |                     |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |
| Jan 1    | Balance b/d                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |        |                     |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |
|          | 3 490                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |        |                     |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |
| 3(d)     | <div><div>Advantages</div><div>It would reduce cash sitting idle in the business bank account (1)</div><div>The levels of trade receivables and trade payables suggest that there will be future net cash inflow (1)</div><div>Interest would be earned on the amount transferred (1)</div><div>Accept other valid points</div><div>Max (2)</div><div>Disadvantages</div><div>It may not be possible to withdraw money from the deposit account without giving notice (1)</div><div>Cash may not be available if Tia decides to draw the full amount to which she is entitled at the end of the year (1)</div><div>Will decrease working capital/will reduce liquidity (1)</div><div>Tia and Sarna may be considering other uses for the cash (1)</div><div>Accept other valid points</div><div>Max (2)</div><div>Max (3) for advantages and disadvantages</div><div>Recommendation (1)</div></div> | 4      |                     |      |    |        |          |       |             |  |        |        |                     |  |  |  |        |  |  |  |             |  |                   |  |                   |      |  |  |  |       |             |  |  |  |       |  |  |   |

| Question | Answer                 |                                                                                                                                         |              |       |                |                                |              |            |           |  | Marks |
|----------|------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|--------------|-------|----------------|--------------------------------|--------------|------------|-----------|--|-------|
| 4(a)     | Arjun Journal          |                                                                                                                                         |              |       |                |                                |              |            |           |  | 9     |
|          | Error number           | Details                                                                                                                                 |              |       |                |                                |              | Debit \$   | Credit \$ |  |       |
|          | 1                      | Commission receivable<br>Discount received<br>Correction of error – cash book total for discount received incorrectly posted (1)        |              |       |                |                                |              | 135 (1)    | 135 (1)   |  |       |
|          | 2                      | Fixtures and fittings<br>Disposal of fixtures and fittings<br>Correction of error – proceeds of sale of fittings incorrectly posted (1) |              |       |                |                                |              | 200 (1)    | 200 (1)   |  |       |
|          | 3                      | Purchases<br>Cash<br>Correction of error – cash drawings posted in error to purchases (1)                                               |              |       |                |                                |              | 40 (1)     | 40 (1)    |  |       |
| 4(b)     | Arjun Suspense account |                                                                                                                                         |              |       |                |                                |              |            |           |  | 4     |
|          | 2020<br>Jan 31         | Difference on trial balance                                                                                                             | \$<br>1 077  | (1)OF | 2020<br>Jan 31 | Equipment repairs<br>Equipment | \$<br>575    | (1)<br>(1) |           |  |       |
|          |                        | Office expenses                                                                                                                         | <u>73</u>    | (1)   |                |                                | <u>575</u>   |            |           |  |       |
|          |                        |                                                                                                                                         | <u>1 150</u> |       |                |                                | <u>1 150</u> |            |           |  |       |

| Question     | Answer                                                                                                                                                                                                                                                                                                                                                                                  |                   |                      |  | Marks        |                   |                   |                      |   |   |  |  |   |  |      |  |   |       |  |  |   |       |  |  |   |  |  |      |   |
|--------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|----------------------|--|--------------|-------------------|-------------------|----------------------|---|---|--|--|---|--|------|--|---|-------|--|--|---|-------|--|--|---|--|--|------|---|
| 4(c)         | <table><tr><th>Error number</th><th>Increases capital</th><th>Decreases capital</th><th>No effect on capital</th></tr><tr><td>3</td><td>✓</td><td></td><td></td></tr><tr><td>4</td><td></td><td>✓(1)</td><td></td></tr><tr><td>5</td><td>✓ (1)</td><td></td><td></td></tr><tr><td>6</td><td>✓ (1)</td><td></td><td></td></tr><tr><td>7</td><td></td><td></td><td>✓(1)</td></tr></table> |                   |                      |  | Error number | Increases capital | Decreases capital | No effect on capital | 3 | ✓ |  |  | 4 |  | ✓(1) |  | 5 | ✓ (1) |  |  | 6 | ✓ (1) |  |  | 7 |  |  | ✓(1) | 4 |
| Error number | Increases capital                                                                                                                                                                                                                                                                                                                                                                       | Decreases capital | No effect on capital |  |              |                   |                   |                      |   |   |  |  |   |  |      |  |   |       |  |  |   |       |  |  |   |  |  |      |   |
| 3            | ✓                                                                                                                                                                                                                                                                                                                                                                                       |                   |                      |  |              |                   |                   |                      |   |   |  |  |   |  |      |  |   |       |  |  |   |       |  |  |   |  |  |      |   |
| 4            |                                                                                                                                                                                                                                                                                                                                                                                         | ✓(1)              |                      |  |              |                   |                   |                      |   |   |  |  |   |  |      |  |   |       |  |  |   |       |  |  |   |  |  |      |   |
| 5            | ✓ (1)                                                                                                                                                                                                                                                                                                                                                                                   |                   |                      |  |              |                   |                   |                      |   |   |  |  |   |  |      |  |   |       |  |  |   |       |  |  |   |  |  |      |   |
| 6            | ✓ (1)                                                                                                                                                                                                                                                                                                                                                                                   |                   |                      |  |              |                   |                   |                      |   |   |  |  |   |  |      |  |   |       |  |  |   |       |  |  |   |  |  |      |   |
| 7            |                                                                                                                                                                                                                                                                                                                                                                                         |                   | ✓(1)                 |  |              |                   |                   |                      |   |   |  |  |   |  |      |  |   |       |  |  |   |       |  |  |   |  |  |      |   |
| 4(d)         | Full control of the business (1)<br>Decisions can be taken quickly (1)<br>Profits do not have to be shared/distributed (1)<br>Book-keeping and accounting are simpler (1)<br>Financial statements do not have to be published (1)<br><b>Accept other valid points</b><br><b>Max (3)</b>                                                                                                 |                   |                      |  | 3            |                   |                   |                      |   |   |  |  |   |  |      |  |   |       |  |  |   |       |  |  |   |  |  |      |   |

| Question | Answer                                                            | Marks       |
|----------|-------------------------------------------------------------------|-------------|
| 5(a)     | profit margin                                                     |             |
|          | workings                                                          | answer      |
|          | $\frac{27\,900}{186\,000} \times \frac{100}{1}$ (1) whole formula | 15% (1)     |
|          | Trade payables turnover (days)                                    |             |
|          | workings                                                          | answer      |
|          | $\frac{9\,435}{93\,075} \times \frac{365}{1}$ (1) whole formula   | 37 days (1) |
|          | Trade receivables turnover (days)                                 |             |
|          | workings                                                          | answer      |
|          | $\frac{14\,010}{186\,000} \times \frac{365}{1}$ (1) whole formula | 28 days (1) |
|          | Liquid ratio                                                      |             |
|          | workings                                                          | answer      |
|          | 14 010 : 11 675 (1) whole formula                                 | 1.2 : 1 (1) |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Marks    |
|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 5(b)     | <p><b>Bank</b><br/> May damage relationship with bank (1)<br/> Already has a bank loan as well as the overdraft (1)<br/> Has nearly reached his overdraft limit (1)<br/> Bank may charge increased interest if overdraft limit is exceeded (1)<br/> <b>Accept other valid points</b><br/> <b>Max (2)</b></p> <p><b>Trade payables</b><br/> Relationship with suppliers may be damaged if he delays paying them (1)<br/> Is taking longer to pay trade payables than he did last year (1)<b>OF</b><br/> May already be taking longer to pay than the credit period allowed (1)<br/> Trade payables may refuse future supplies (1)<br/> Interest may be charged on the overdue amount/cash discount will be forfeited (1)<br/> <b>Accept other valid points</b><br/> <b>Max (2)</b></p> <p><b>Recommendation (1)</b></p> | <b>5</b> |
| 5(c)     | <p>Sell surplus non-current assets (1)<br/> Increase bank loan/additional bank loan (1)<br/> Obtain loan from another source (1)<br/> Convert to a partnership/limited company (1)<br/> Introduce additional capital (1)<br/> More efficient credit control (1)<br/> Sell on a cash basis (1)<br/> Reduce drawings (1)<br/> <b>Accept other valid points</b><br/> <b>Max (3)</b></p>                                                                                                                                                                                                                                                                                                                                                                                                                                   | <b>3</b> |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                             | Marks    |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 5(d)(i)  | To calculate the profit for the year <b>(1)</b><br>To assess progress of the business <b>(1)</b><br>To provide information for calculation of ratios <b>(1)</b><br>For comparison purposes <b>(1)</b><br>To indicate where corrective action is required <b>(1)</b><br>To assist planning <b>(1)</b><br>To provide required information for the tax authorities <b>(1)</b><br><b>Accept other valid points</b><br><b>Max (2)</b>                   | <b>2</b> |
| 5(d)(ii) | Non-monetary items cannot be recorded/only items which can be expressed in monetary terms can be recorded <b>(1)</b><br>Money is a widely used/understood unit of measure <b>(1)</b><br>Transactions are traditionally recorded in money terms <b>(1)</b><br>Subjectivity/personal opinion is avoided <b>(1)</b><br>Easier to make comparisons year-on-year/with other businesses <b>(1)</b><br><b>Accept other valid points</b><br><b>Max (2)</b> | <b>2</b> |